ONEX CORP ONEXF

October 07, 2026 - 11:59am EST
by YSIBenson

			2026	2027
Price:	105.00	EPS	11.33	14.93
Shares Out. (in M):	76	P/E	9.1	6.9
Market Cap (in $M):	7,986	P/FCF	9.1	6.9
Net Debt (in $M):	-96	EBIT	850	1,038
TEV (in $M):	7,891	TEV/EBIT	9.1	7.5

Description

The Business

Canadian asset manager: Private Equity (PE) Onex Partners larger-cap, PE ONCAP mid-cap, Credit (CLO, Opportunistic, misc. PE anchor-fund had struggled with performance and talent drain, before recent improvements and large realizations. Its portfolio company Convex Insurance was bought-in on Feb '26 for ~$7bn and now represents 44% of investing capital and half of operating earnings. This brings PE down to 46% from 65% of invested capital at YE25, and advances the corporate pivot of becoming a capital-light asset manager. The Founder's excess rights lapsed May '26.

Majority large-cap: OE Partners I was a homerun, with subsequent funds larger but performance lagging. Fund V $7.2bn '2019 had ~28% of capital from the GP; resulting in 19% gross IRR / 1.9x net MOIC, DPI now 1.0x (top-decile for vintage per mgmt). Fund VI: first close guided for 4Q26, targeted for smaller than V, with mgmt says demand goes beyond the first close; GP commit capped at 10%. Fund V is post-mgmt-fee, so Fund VI will bring back normal FRE into the asset mgmt franchise.

Minorities: ONCAP is mid-market fund: last V fund was $1.3bn 2024-launch still in acquisition mode (29% gross IRR ; 1.4x MOIC). ONCAP IV realizations expected to take DPI >1.0x. Onex Credit has been growing but is lower fees: 10 CLOs / $4.4bn raised or extended 1H26 (#11 BSL CLO manager); OSCO II final close >$500mm incl. AIG.

Based in Toronto, NY and London, with 350 core employees and ~500 Convex employees.

The Thesis / Situation

Core Thesis: The company is the early innings of its Earnings+TEV transformation, ala Berkshire/Apollo/other-Alts platforms. NAV covers the shares, the insurer Convex free, a new AIG partnership supporting the insurance and asset managements, with buybacks and governance catalysts, create 80% upside from today.

Onex's PE/Credit NAV covers ~whole share price (hard NAV ~C$100/sh vs Onex trading at ~C$105/sh), so you get the insurer for free (Convex is C$77/sh at Onex's mark of ~2.0x TBV and ~C$8-9/sh earnings.)

CEO LeBlanc, the first CEO after founder stepped down 2023, is a former BRK executive and is mirroring Buffett/KKR/Apollo to buy in insurer into the Corporate for low-capital-cost float and to anchor asset management and investment holdings.

Onex founder Gerry Schwartz, stepped down in 2023, gave up 60% board-appointment May '26 (20% left, on 11% ownership) AIG's Jay Cohen joined the board at the May AGM.

Convex became core of NAV and cash flow, and brought in AIG as partner and anchor feeder of asset management AUM. Onex Corp bought in 63% of Convex from its Onex Partners V fund in Feb '26 at $7bn EV (~$70/share fair value.) AIG bought the other 35% and 9.9% of Onex itself. Continued growth , and so far marked up +9% since close (carried at 2.0x TBV, 9.8x LTM P/E.)

Convex is a 6yr-vetted anchor of Onex's portfolio and now balance sheet, since being co-founded by Onex in 2019. Gross Premiums Written (GPW) continue growing, up ~10% YTD despite insurance markets turning soft at -MSD%, and still earnings 20%+ ROE.

The asset-mgmt business returned to FRE income breakeven in Q2, and will into growth through recent realizations, AIG's commitments of $2bn, and guided $35mm YE run-rate reiterated, contingent on the first close of the currently fundraising OP VI fund. FRE worth ~$10/share on a multiples basis, but more importantly, ties together the story of transforming into a cohesive Alts investment manager.

Catalysts: first close of OP VI fundraise; maybe as early as 4Q26. New institutional owners after Founder's excess governance lapsed. Buyback resumed Aug '26, but will size up as cash inflows were first directed to paying down the Convex acquisition loan. Continued quarters of Convex growth and profitability despite soft insurance pricing. Direct acquisitions of financial operating businesses, leveraging the cheap float and cost base, to build the financial-powerhouse story.

Current Capitalization and Price Target:

Capitalization	
($CAD mm)	
Cash, PF Jul-26	$418
NAV Loan, PF Jul-26	$322
Shares, FD (2Q26A)	76.0
Price	$103.39
Mcap	$7,858
Enterprise Value	**$7,762**

SOTP Target			
	Business	**xValue**	**CAD**
Investing Capital	$101	(10.0%)	$90.62
AssetMgmt, Fwd per-s	$0.81	13.0x	$10.58
Convex, Fwd per-share	$8.65	10.0x	$86.53
Corp? in FRE?	($0.39)	10.0x	($3.95)
Fair Value Target			**$183.79**
Upside			**77.8%**

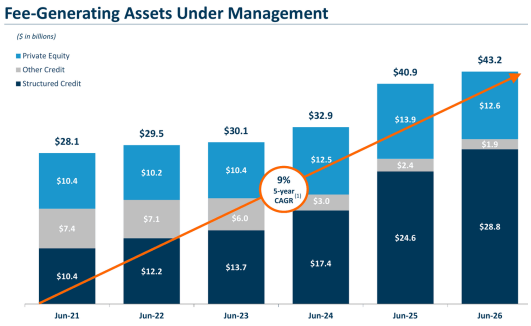
That's backed by "hard"-NAV of the investment and asset portfolio:

NAV						
	USD '24	USD '25	'6/26A F	PF July	CAD	C/Share
Onex Partners Privates	4,100	4,145	3,171	3,141	4,476	$58.90
Onex Partners Publics	559	305	256	0	0	0.0
ONCAP	795	775	788	788	1,123	$14.78
Unrealized Carry	264	387	297	297	423	$5.57
Private Equity	**5,718**	**5,612**	**4,512**	**4,226**	**6,022**	**$79.24**
Investments,	924	938	886	886	1,263	$16.61
Unrealized Carry	22	17	10	10	14	$0.19
Credit	**946**	**955**	**896**	**896**	**1,277**	**$16.80**
Other Net Assets	31	35	179	179	255	$3.36
Cash	1,578	2,060	287	293	418	$5.49
Gross NAV	**8,273**	**8,662**	**5,874**	**5,594**	**7,972**	**$104.89**
less: NAV Loan (PF Jul; $220mm princip	0	0	(506)	(226)	(322)	($4.24)
"Hard" NAV / Invested Capital	**8,273**	**8,662**	**5,368**	**5,368**	**7,650**	**$100.66**
	Income	Mult.	Own%			
Convex 62.5% @ Company's 2x TBV	**719**	**9.2x**	**63%**	**4,156**	**5,923**	**$77.93**
Total NAV	**8,992**	**8,671**		**9,524**	**13,573**	**$178.59**
Share Price						**$105.08**
Discount to NAV						**(41.2%)**

And the earnings of the Investment Management business, along with a growing earnings stream of Convex.

Business Lines						
	USD '25	LTM 2Q26	CAD LTM>	YE '26G	w. AIG RR	
Fee-Generating AUM	44	$43	62			
RR Mgmt Fees	207	211	301			
AssetMgmt FRE	30	$29	41			
Total Fee-earnings (Pul	(3)	($2)	(3)	40	62	
FRE/Share			YE25: $24	**$0.53**	**$0.81**	
Multiple				13.0x	8.5x	
AssetMgmt Value**				**$6.92**	**$6.92**	
** (excl. Carried Interest and Investment Gains counted in NAV Above)						
				5%		
Convex Earnings	711	719	1,025	1,076		
Acquisition Financing	(39)	(23)	(32)	(32)		
PF Earnings	672	696	992	1,043		
PF EPS, Gross				$13.73		
Own%				63%		
Fwd Convex Earnings				**$8.65**		
Total P/E on Convex-only				**12.1x**		
	FY2021	FY2022	FY2023	FY2024	FY2025	LTM 2Q26
PE FPAUM, avg, CAD	$10,368	$10,117	$10,665	$12,069	$13,217	$13,511
PE Mgmt Fee	1.72%	1.17%	1.05%	0.77%	0.69%	0.61%
Credit FPAUM, avg C.	$15,761	$23,287	$23,613	$22,066	$26,653	$29,180
Credit Mgmt Fee, bps	0.57%	0.65%	0.59%	0.48%	0.44%	0.44%

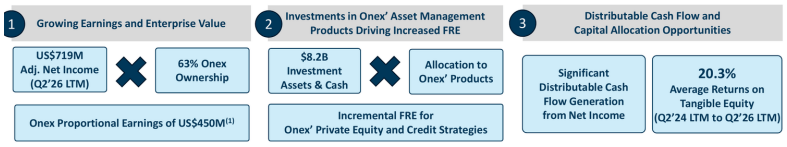
These manage a portfolio of PE (large and mid-cap) and Credit (CLO's by scale, Opportunistic by fees.)



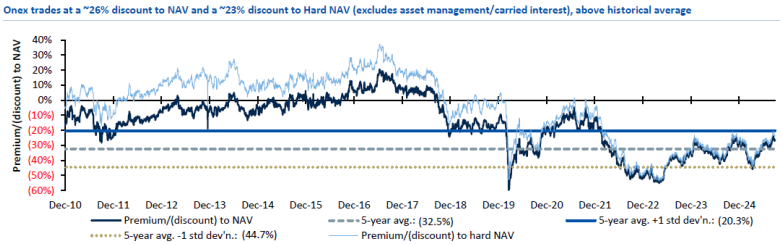
Other Investing Capital: Private Equity Fund Performance[1]

	Vintage	Fund Commitments	Gross IRR[1]	Pro Forma Gross IRR[1][2]	Gross MOIC[1]	Net MOIC[1][3]
Onex Partners Funds						
Onex Partners I[4]	2003	$1.7B	55%	n/a	4.0x	3.1x
Onex Partners II[4]	2006	$3.5B	17%	n/a	2.2x	1.8x
Onex Partners III	2009	$4.7B	17%	25%	2.2x	1.7x
Onex Partners IV	2015	$5.7B	8%	10%	1.5x	1.3x
Onex Partners V	2019	$7.2B	17%	19%	1.9x	1.5x
Onex Partners Ranger CV[4][5]	2023	$0.6B	82%	n/a	3.9x	2.9x
Onex Partners Opportunities Fund[5][8]	2025	$2.1B	162%	n/a	1.6x	1.2x
Onex Partners Co-Investment Fund[7]	2025	$47mm	n/m	n/a	1.1x	1.0x
Onex Partners Leaf CV[5][7]	2026	$1.5B	n/m	n/a	1.4x	1.3x
Onex Partners Star CV[5][7]	2026	$1.3B	n/m	n/a	1.0x	1.0x
ONCAP Funds						
ONCAP I[4][6]	1999	C$400mm	43%	n/a	4.1x	3.1x
ONCAP II[6]	2006	C$574mm	29%	n/a	4.8x	3.2x
ONCAP III[6]	2011	C$800mm	25%	n/a	3.6x	2.6x
ONCAP IV	2016	$1.1B	16%	n/a	2.1x	1.6x
ONCAP V[5]	2024	$1.3B	29%	n/a	1.4x	1.1x

Convex rolls in direct cash earnings, at attractive ROEs, and so-far under-performing cost investment portfolio of low-cost float, anchoring the alts-evolution of Onex.



All while continuing to trade at large discount to NAV and earnings value. Chart below is dated, but representative of the pressures and opportunities. Recent META Muse-related headlines hit all insurers including the lookthrough to Convex, despite Convex's complexity focus keeping it un-exposed to the feared trends.



Key Questions / Considerations

Can they raise Onex Partners VI? Are PE and Credit books marked correctly (flat YTD, with a few markdowns)?

$1.4bn LTM realizations ex-Convex, but much via transfer to Continuation Vehicles (CV)s. Landmines in credit book (software 4% of book; 14% of CLO's is well below market at 20%)?

Convex forward growth, to buy down the 10x/1.8x price? (current -M-HSD ASPs; soft property re-insurance rates after no major-CATs for years; some over-earning on PYD; land-mines?) Tactics/Strategy for AIG (since lots of overlap)?

Upside to asset manager and FRE value? $8-10/share by company and street estimates, alreadys assume Partners VI closes and a healthy book of marks (both have sensitivities). The FRE is mechanically a small% of the SOTP but key to the transformation story.

Need to see buybacks accelerate after de-levering the Convex acquisition loan.

Mgmt Team and track record? CEO was President of Onex and Head of Onex Partners since 1999, including the homerun and weaker funds; previously was a VP at BRK. The new CFO is the former TCW CSO & JPM Asset Mgmt CFO.

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Catalyst

Catalysts:

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Messages

Subject i agree but...
Entry 10/07/2026 04:35 PM
Member juice835

i just worry that so far at least they've turned this into a thing that is likely to trade at an even bigger discount (lots of holding companies do)...

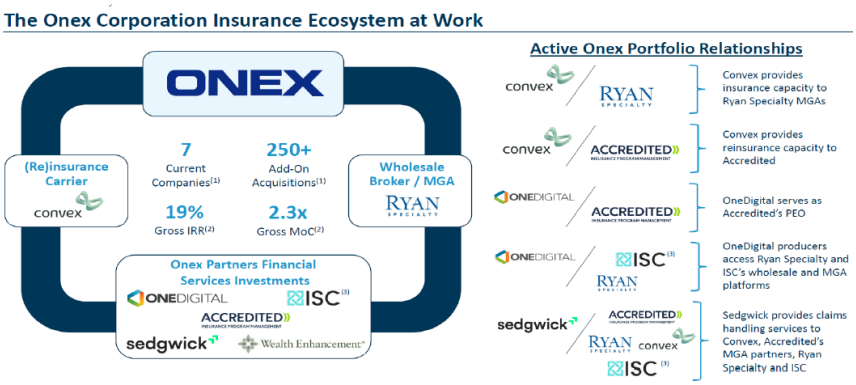
Subject Re: i agree but...
Entry 10/08/2026 07:25 PM
Member YSIBenson

It certainly could, but I believe enough changes have happened and catalyst opened to be able to do something about it.

Before, the Founder's excess board control prevented buying stock (at 40% NAV discounts, I might add), attracting new shareholders or joining certian indices. That's a lot of technicals cleared.

They also had massive capital trapped in the funds and no active active cash flow stream (short of portfolio sales and carry), so there was no way to buy stock to bridge NAV, even if they wanted to. Now every dollar of cash inflow can be evaluated for a full toolbox of purposes (grow insurance book, buy stock, cohesive M&A.)

On that last point, Convex was not just a bought in portfolio company. It was co-founded by Convex with one of the best mgmt teams in the space so they have known the asset inside out for 6 years; a rare buy for a PE/Alts/AssetManager. It also works as a network with other Onex portfolio companies (Ryan, Accredited, OneDigital), so was built very cohesively and has a natural stream of add-ons built into it. Onex has net cash and AIG partnership as dry powder.



They do still need to close Partners VI. And the soft insurance market has to cycle through, after the dirth of large cat events. One of those seems low-lift execution and the other cyclical, so a good runway there. And not a great equity tape or macro, so you may be "blessed" with a longer period of buying cheap stock.

But you're not sitting on your hands anymore. It's proactively bridging the discount and spring-loading the share reaction.